Economic and cultural development in Bangladesh

Lecture 12

Bangladesh has become the fastest-growing brand nation in the world. That is, the brand value of Bangladesh increased the most last year. Bangladesh is followed by Uzbekistan (32%), Azerbaijan (30%), United Arab Emirates (24%) and Georgia (23%).

Bangladesh has the second highest brand value in South Asia, right after India, which is more than twice that of Pakistan and 10 times that of Sri Lanka. The report specifically states that Bangladesh is an example of unprecedented economic development and an inspiring model of poverty eradication as declared by the World Bank.

Food security

- Bangladesh has increased its food grain production over the past 28 years from 11.8 million metric tons in 1974 to more than 34.5 million metric tons (mmt) in 2010-11
- 81.3% of the population consumes fewer than 2190 kcal per day where for people in most developing countries the daily calorie intake is 2828
- 30% of women have low body mass index (BMI less than 18.5)
- Women eat last and eat less. They are the most malnourished group in Bangladesh.
- 50% of all Bangladeshi babies are born underweight.
- Frequent floods, cyclones and other natural disasters pose special problems for assuring food security. It is further complicated by gender-related factors-women are heavily engaged in agriculture but do not have access to extension services or other inputs like seeds and fertilizer. They are also usually the last to eat at mealtimes
- The Government relies increasingly on the private sector to help address food security, a positive trend.

Employment

Bangladesh's economic growth and development experiences over the past four and a half decades since independence in 1971 have generated a lot of interests among academics and development practitioners both from home and abroad. From a war-torn economy in 1972 until now, Bangladesh has been able to increase its per capita GDP by more than 17 times (from as low as around USD 100 in 1972 to USD 1,751 in 2018), cut down the poverty rate from as high as 71 percent in the 1970s to 24 percent in 2016, became the second largest exporter of readymade garments in the world, and registered some notable progress in social sectors.

In 2015, Bangladesh graduated from the World Bank's classification of low-income country to lower-middle income country category. Bangladesh has successfully met all three criteria for LDC graduation in the first review in March 2018. It is expected that Bangladesh will be able to meet the graduation criteria in the second review in 2021 and will finally graduate from the LDC status in 2024.

In the context of the aforementioned development path, there are six major labour market and employment challenges in Bangladesh. These are the creation of jobs (the quantity), ensuring decent jobs (the quality), acceleration of economic growth and economic diversification, increasing female labour force participation, enhancing youth employment, and raising the productivity of labour.

In terms of the number of new jobs, there has been slower growth in job creation in recent years in Bangladesh. Between 2013 and 2016-17, while the average annual GDP growth was 6.6 percent, the average annual growth of jobs was only 0.9 percent. The number of manufacturing jobs declined by 0.77 million, and more importantly, female manufacturing jobs declined by 0.92 million.

Remittance

As per a study by the Bangladesh Bureau of Statistics (BBS), styled "Cost of Migration Survey: Bangladesh 2020", about 62 per cent of the 2.7 million workers that went abroad between 2015 and 2018 hailed from rural areas.

Meanwhile, the national statistical agency's "Household Income and Expenditure Survey-2016" published in 2019 says about 68.44 per cent of the remittance received by rural families is used to meet basic need while 27.98 per cent is invested in various ventures.

Since the introduction of agent banking in 2013, families of migrant workers in rural areas have received about Tk 1.04 lakh crore in remittance as of December last year, shows Bangladesh Bank data.

This was about 91 per cent of the Tk 1.14 lakh crore worth of remittance received through agent banking during the period.

The country's total inward remittance amounted to Tk 12.54 lakh crore between fiscal years 2013-14 and 2021-22, it added.

But after those dues are clear, the remittance helps beneficiaries improve their livelihoods.

Different analyses suggest that remittance-receiving families spend more on education, healthcare, food and sanitation compared to other groups of people.

"So, remittance plays a big role in improving the living standards of rural families and ensuring financial security," he added.

To understand correlation between labour migration, poverty and development, the Refugee and Migratory Movements Research Unit (RMMRU), supported by the Swiss Agency for Development and Cooperation (SDC), conducted three surveys in 2014, 2017 and 2020 in rural areas across 20 districts.

The surveyed districts were chosen based on their high, medium or low prevalence of migration while the families of non-migrants and internal migrants were also interviewed. 25

per cent of remittance-receiving families use irrigation pumps compared to 24 per cent of non-migrant families and 19 per cent of internal migrant families in 2020.

That year, 47 per cent of the remittance receiving families were involved in poultry farming, 28 per cent in animal rearing, and 6 per cent in aquaculture.

Besides, 1.4 per cent of remittance-receiving families were involved in local enterprises such as textile units, spice mills, saw mills, hotels and restaurants.

Moreover, 8 per cent of them invested in transportation, such as rickshaws, microbuses and trucks, while 12 per cent bought shops in different locations. Remittance is also an important part of sustainable agricultural production as rural remittance-receiving families spend significant amounts on irrigation..

Bangladesh is one of the largest remittance recipient countries through the export of its labor forces mainly to the Middle East and the Southeast Asian countries since the early 1970s. Job openings in the Middle-east and the establishment of an overseas recruitment system in the mid-1970s, pave the way open for Bangladeshi workers to go abroad for employment . Economic globalization in the 1980s and 1990s brought about a rise in the demand for migrant workers globally. This external demand opened up scope for a large number of Bangladeshis (mostly semi-skilled and less skilled) to go abroad as migrant workers. The migration of Bangladeshis took place owing to several pull factors (e.g., demand for labor abroad, kinship with other Bangladeshis living abroad, etc.) and push factors (e.g., poverty, unemployment, underdevelopment in rural areas etc.) (ILO, 2014).

During the last decade, remittances had become a major source of external fund, surpassing the volume of FDI and ODA that the country received. For the year 2014-2015, workers' remittance is 9 timesnhigher than FDI and 25 times higher than Portfolio Investment and 4 times higher than ODA in Bangladesh. So, workers' remittance is a major source of foreign exchange earnings and these large inflows of remittances have enormous effects to the Bangladeshi economy. According to World Bank Estimates of 2013, Bangladesh is the 5th top emigration country with 7.76 million. Up to 2015 May, Bangladesh has sent more than 9.34 million (BMET, 2015) workers to 142 countries (BBS, 2013). Due to this mass movement of temporary migrant workers, the remittance transfers received from these migrant workers have reached a level of 15.31 billion US dollars in 2014-2015, approximately 7.9% of GDP in Bangladesh which was 14.23 billion US dollars in the year 2013-2014 (Bangladesh Bank, 2015). From 1976-2014, annual migration from Bangladesh is about 0.2-0.3 million i.e., every year about 200,000 or more Bangladeshis leave the country to work overseas (BMET, 2015). Most of these migrants send part of their earnings home regularly or irregular basis.

Bangladesh receives 2.6 per cent of global remittance flow. This share was 3.5 per cent among developing countries and accounted for 12.8 per cent of the official remittances flowing into South Asia in 2014. The country ranked the 8th among developing countries and 10th globally as a remittance receiving country in 2013 with a remittance earning of US$13.86 billion. Bangladesh has been maintaining position within top 10 remittance recipient countries since last 15 years from 2004 to 2014

Bangladesh is a country of surplus manpower resources with a combination of professional, skilled, semi-skilled and less-skilled labor force. Almost two million young people are added to the labor force every year (BBS, 2013).But the country lacks the ability to create jobs to

absorb them. As a result, the outflow of Bangladeshi workers will continue in the foreseeable future. Migration plays a vital role in the national.

economy mainly in two major ways: firstly by reducing unemployment and secondly, by providing remittance inflows for the country. The steady growth of emigration from Bangladesh over the years is favorable to the development of Bangladesh; as inflow of remittance has increased every year. The links between migration and remittances are obvious. Both have a strong co-relation to poverty reduction in home countries. Remittance has become an important aspect for the developing countries like Bangladesh for socioeconomic advancement.

International remittances come to Bangladesh mainly from three large, but distinct types of migrants. Firstly, well-educated, high or middle income earners diasporas2 of Bangladeshi origin living in USA and UK. Secondly, low-income or unemployed segments of the population in USA and UK and other industrialized countries. Thirdly, a major group of migrant laborers residing in Middle Eastern, South East Asian and some industrialized countries for a specific period (IOM, 2005).The estimated diaspora population living permanently in the industrialized west is about 1.2 million (ILO , 2014). The origins of migration to industrialized countries mainly to the UK and the USA can be traced back to the colonial period from the eighteenth century onwards as sailors or even stowaways originating from the south- eastern part of Bangladesh (Siddiqui, 2003). During the 1950s and 1960s, Bangladeshi workers migrated abroad, especially to the UK and obtained British citizenship by naturalization after staying four to five years. Also a limited number of Bangladeshi workers had taken up employment in Saudi Arabia and Qatar mostly by individual initiatives during 1960s (Das and Chowdhury, 2011). After the independence of Bangladesh in 1971, pattern of workers' migration changed drastically.

Export import

Every country expects to improve local economic growth by promoting international trade. Bangladesh has experienced rapid economic growth in recent years and has been able to maintain sustained economic growth. The economy grew at a rate of 7.86 percent in FY2017-18, satisfactorily up from 7.28 percent growth in FY2016-17. The per capita national income reached US$1,751 in FY2017-18, up by US$141 a year earlier (Bangladesh Economic Review, 2018). The Gross Domestic Product (GDP) in Bangladesh was worth 274.03 billion US dollars in 2018, which represents 0.44 percent of the world economy. The main driving force of exports is ready made-garments (RMG) and remittances from migrant workers. The country is diversifying its export base in terms of products and destinations while tapping into its vibrant private sector. The increased production of exportable goods brings about an expansion in the volume of trade. On the opposite end of the spectrum, the large production of importable goods such as fuel, capital goods and foodstuff originated in China, India, Kuwait, and the EU causes a contraction in the volume

of trade.

impact of exports and imports on economic growth in Bangladesh economy for the period of 1976 to 2018. The estimated results show that explanatory variables have positive and significant impact on the economy of Bangladesh. We found a positive and highly significant relationship between Export and RGDP growth, implying that higher exports are associated with higher economic growth. The estimated coefficient 3.2678 implies that an increase in Export-RGDP ratio by one percentage point leads to GDP growth by 3.2678 percent per annum. As there is short run causality running from both export and import to RGDP, the Bangladesh economy needs to concentrate on both export and import stability for long run.

The main macroeconomic indicators for a country are the Gross Domestic Product (GDP), Export of Goods and Services (EXPORT) and Import of Goods and Services (IMPORT).Such indicators are an integral part of all economies including Bangladesh's overall development effort and national growth.Higher export rates of goods and services may play a major role in Bangladesh's development plan, where foreign exchange shortage is a key bottleneck. From the data given from IMF, Bangladesh's current economic situation is the second fastest growing major economy in 2016, at a rate of 7.1%.Exports system rebounded in 2018. The total earnings of exports increased by 7.4% in July-February, 2017-2018, compared with 3.2% growth against the corresponding period of 2017. The average value that occurred in Bangladesh during period 1960- 2017 was 10.08% with a minimum of 2.9% in 1975 and a maximum of 20.16% percent in 2012.However, to attain the 2018's 8.2% growth target the expert growth is short of track. During the time period of March- June 2018 export will need to grow by 14.9% comparative to the same period in 2017 to achieve the target. This year 11.6% growth in export of knit products that is exports growth this year has so far been driven by Readymade garments (RMG) recording a growth of 8.7% during July-February, 2018. Primarily growth appears to have been volume driven. Non-RMG export earning which the growth derives from was unable to keep pace. In the first eight months exporting to the EU market gained momentum with a growth of 11.7%,which is higher than the growth rate for the corresponding period in 2017. In the US market other prime competitors of Bangladesh experienced significant growth.For import the average value for Bangladesh during 1960-2017 was 15.96% with a minimum of 8.1% in 1975 and a maximum of 27.95% in 2012.